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WEEKEND ANALYSIS

Zombie fund era is pushing more VCs to take a career pivot

By [Rosie Bradbury](#)

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The recent decadelong market boom propelled venture capital's cultural status, luring droves of young finance workers whose jobs the industry can no longer afford.

Over two years on, as liquidity remains elusive, more and more junior investors are seeing the writing on the wall and exploring new directions for their careers.

“Many of them are lucky that their GPs will continue to let them be on the payroll, with the common understanding that they will be looking for something new,” said Will Champagne, founder of [SCGC](#), a boutique headhunting firm for VC funds.

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[Equal Ventures](#) managing partner Rick Zullo agrees: “We’ve already seen a fair amount of defections out of venture, and I hear more are coming.”

The VC job market is excruciating: Promotions are taking longer, compensation rates are flatlining, and firms are even deflating titles, said Champagne.

This article appeared as part of The Weekend Pitch newsletter. [Subscribe here](#).

Founder mode

Ask 10 VCs what they’d be doing if they weren’t an investor, and 11 of them would say that they’d be a founder.

But in reality, going from a cushy mega-fund to a scrappy startup can come with some real tradeoffs that some aren’t willing to swallow.

“There’s frankly a lot of risk aversion in the venture world,” Champagne said.

Leaving a venture firm to join a startup can also be a major lifestyle adjustment. Champagne said he’s seeing VCs take a 50% cash pay cut, holding out hope that their stock options will eventually bridge the gap.

“Think of a partner making \$500,000 to \$1 million in cash. At a startup, a head of business development might make something like \$300,000.”

Still, some do make the switch. Take Kevin Zhang, who left early-stage investing at [FirstMark Capital](#) to launch generative AI startup Shadow AI, or Zain Rizavi, who left his job as a principal at [Ridge Ventures](#) last month to co-found a stealth AI cloud security startup.

Meanwhile, tenured [Founders Fund](#) partner Scott Nolan, for example, recently stepped back from investing to fully focus on running his new uranium enrichment startup, [General Matter](#). (It's not unusual for partners at Founders Fund to found startups on the side while investing.)

The safer options

One safer option is a lateral move into corporate VC.

"You've got one LP, you don't have to do the whole fundraising thing, but you still get to practice venture capital, and you do it with the Microsoft brand behind you or the Salesforce brand behind you," said [Costanoa Ventures](#) founder and managing partner Greg Sands.

Another popular choice is taking their venture chops to a family office or fund-of-funds with a co-investing practice, for example.

"That evaluative and critical eye of what good looks like can be very helpful," said Diane Gilley, a headhunter at [Click Partners Executive Search](#).

But family offices can also be elusive. "It is actually quite tough" to break in, Gilley said: "It tends to be very insular, depending on who they have participating and if it's one family, or multiple families."

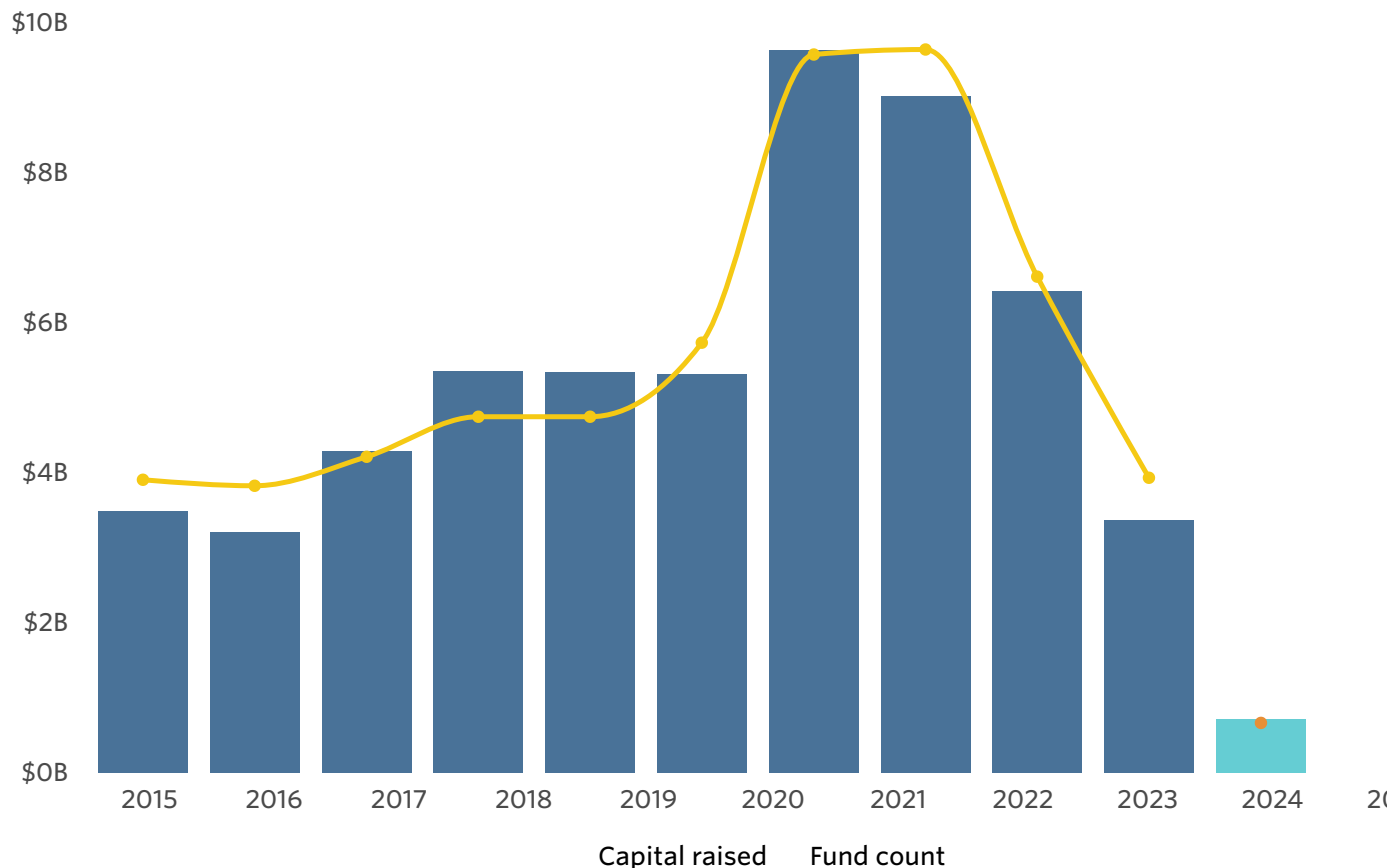
Setting up their own shop

For the daredevils, there's yet another option: raising their own fund.

Despite the harsh fundraising environment, Champagne is seeing more former principals and partners quietly ringing up LPs.

"The compensation at a micro fund will be dramatically lower on the cash side—but the carry is interesting because they get to keep most of it," he said.

Micro fund ambitions



Source: [Q1 2025 PitchBook-NVCA Venture Monitor](#) • Geography: US
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Even raising a small fund comes with challenges: The number of micro-funds successfully raised has dropped from 723 in 2022 to under 300 in 2024, according to PitchBook data.

And a number of more established partners have made headlines for setting up their own firms and raising sizable funds. But some of these VCs set out on their own after being pushed out or fired for poor performance.

But with scarce jobs in venture, what do you have to lose?

Featured image by Jenna O'Malley/PitchBook News

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About [Rosie Bradbury](#)

Rosie Bradbury is a senior reporter covering startups and venture capital for PitchBook News. Based in New York, she previously reported for the Bureau of Investigative Journalism, Business Insider and Wired. Rosie studied history and politics at the University of Cambridge.

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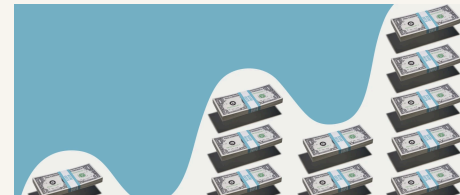


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